Social and Professional Issues

IT 2209

Module 9 : Ethics of IT Organizations

Lesson 1 : The Need for Non-traditional Workers
Lesson 2 : Contingent Workers
Lesson 3 : H-1B Workers
Lesson 4 : Outsourcing
Lesson 5 : Whistle blowing
Lesson 6 : Green Computing
Lesson 7 : ICT Industry Code of Conduct

Learning Outcomes

At the end of the lesson, the student is expected to:

1. Analyze the use of non-traditional workers.
2. Identify what is contingent workers, and how are these workers employed in the information technology industry?
3. Explain the importance of Offshore Outsourcing.
4. Understand what is green computing and what are organizations doing to support this initiative.
5. Distinguish what measures does the members of the electronics manufacturing industry are taking to ensure the ethical behavior of the many participants in their long and complex supply chains.
6. Identify the ICT Industry code of conduct.

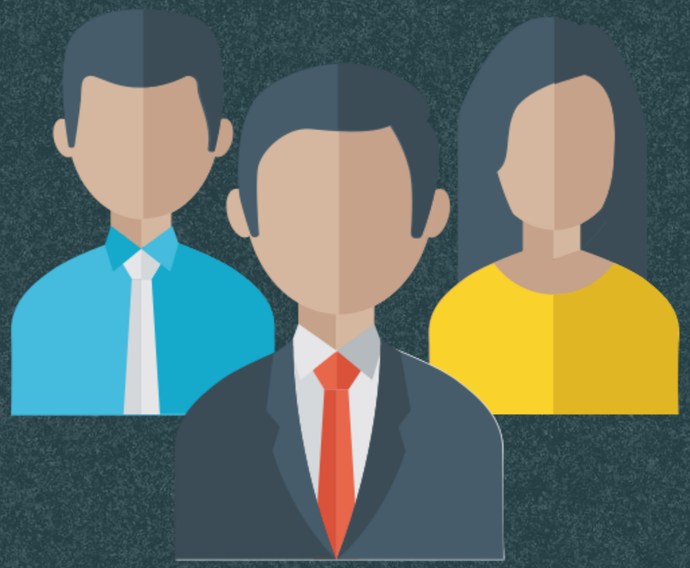
Lesson 1: The Need for Non-traditional Workers

According to the Computing Research Association, the number of undergraduate degrees awarded in computer science, computer engineering, and information technology at doctoral-granting computer science departments in the United States and Canada decreased dramatically from a peak of around 21,000 per year in 2004 to less than 10,000 in 2009. By 2011, however, the number of undergraduate degrees had rebounded to nearly 15,000. As a result of the decline in undergraduate degrees being awarded in computer science and engineering fields, IT firms and organizations that use IT products and services are concerned about a shortfall in the number of U.S. workers to fill not only the 750,000 expected new positions but also to replace the many people who will retire from existing positions.

Lesson 2: Contingent Workers

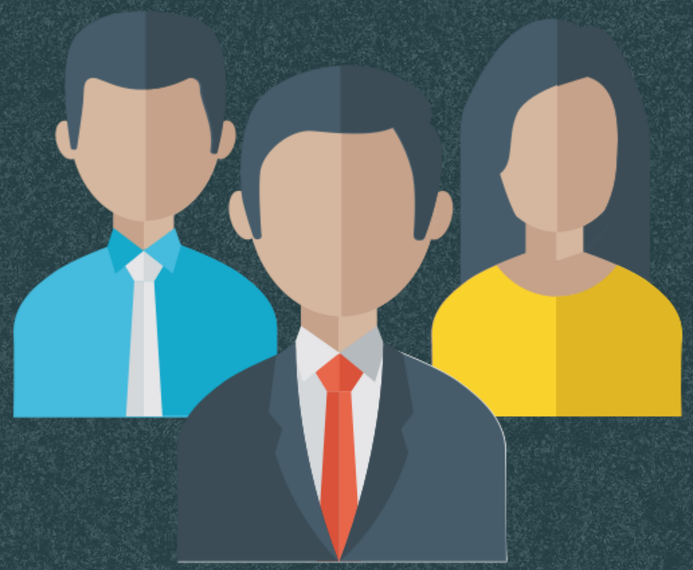
Contingent Workers

The Bureau of Labor Statistics defines contingent work as job situation in which an individual does not have an explicit or implicit contract for long-term employment. The contingent workforce includes independent contractors, temporary workers hired through employment agencies, on-call or day laborers, and on-site workers whose services are provided through contract firms.



Contingent Workers

Temporary employees are often used to fill in during staff vacations and illnesses, handle seasonal workloads, and help staff special projects. However, they are not considered official employees of the company, so they are not eligible for company benefits such as vacation, sick pay, and medical insurance. Because temporary workers do not receive additional compensation through company benefits, they are often paid a higher hourly wage than full-time employees doing equivalent work.



Employee Leasing

Employee leasing firms operate with minimal administrative, sales, and marketing staff to keep down overall costs, and they pass the savings on to their clients. Employee leasing is a type of co-employment relationship, in which two employers have actual or potential legal rights and duties with respect to the same employee or group of employees. Consulting firms work with their clients on engagements for which there are typically well-defined expected results or deliverables that must be produced.

Advantages of Using Contingent Workers

When a firm employs a contingent worker, it does not usually have to provide benefits such as insurance, paid time off, and contributions to a retirement plan. A company can easily adjust the number of contingent workers it uses to meet its business needs, and can release contingent workers when they are no longer needed. The use of contingent workers can enable a firm to meet its staffing needs more efficiently, lower its labor costs, and respond more quickly to changing market conditions.

Disadvantages of Using Contingent Workers

One downside to using contingent workers is that they may not feel a strong connection to the company for which they are working. This can result in a low commitment to the company and its projects, along with a high turnover rate. Although contingent workers may already have the necessary technical training for a temporary job, many contingent workers gain additional skills and knowledge while working for a particular company; those assets are lost to the company when a contingent worker departs at a project's completion.

Deciding When to Use Contingent Workers

The key lesson of this case is that even if workers sign an agreement indicating that they are contractors and not employees, the deciding factor is not the agreement but the degree of control the company exercises over the employees. The following questions can help determine whether a worker is an employee:

- ✓ Does the worker have the right to control the manner and means of accomplishing the desired result?
- ✓ How much work experience does the person have?
- ✓ Does the worker provide his own tools and equipment?
- ✓ Is the worker engaged in a distinct occupation or an independently established business?
- ✓ Is the method of payment by the hour or by the job?
- ✓ What degree of skill is required to complete the job?
- ✓ Does the worker hire employees to help?

Lesson 3: H-1B Workers

H-1B Workers

An H-1B visa- is a temporary work visa granted by the U.S. Citizenship and Immigration Services (USCIS) for people who work in specialty occupations—jobs that require at least a four-year bachelor's degree in a specific field, or equivalent experience.

H-1B Workers

To receive an H-1B visa, the person must have a job offer from an employer who is also willing to offer sponsorship. Once a decision has been made to hire a worker who will require an H-1B visa, an employer must begin the application process. There are two application stages: The Labor Condition Application (LCA) and the H-1B visa application. The company files an LCA with the Department of Labor (DOL), stating the job title, the geographic area in which the worker is needed, as well as the salary to be paid

Using H-1B Workers Instead of US Workers

In order to compete in the global economy, U.S. firms must be able to attract the best and brightest workers from all over the world. Most H-1B workers are brought to the United States to fill a legitimate gap that cannot be filled from the existing pool of workers.

Potential Exploitation of H-1B Workers

Even though companies applying for H-1B visas must offer a wage that is at least 95 percent of the average salary for the occupation, some companies use H-1B visas as a way to lower salaries. Because wages in the IT field vary greatly, unethical companies can get around the average salary requirement. Companies using H-1B workers, as well as the workers themselves, must also consider what will happen at the end of the six-year H-1B visa term.

Lesson 4: Outsourcing

Outsourcing is another approach to meeting staffing needs. It is a long-term business arrangement in which a company contracts for services with an outside organization that has expertise in providing a specific function. A company may contract with an organization to provide services such as operating a data center, supporting a telecommunications network, or staffing a computer help desk

Offshore Outsourcing

It is a form of outsourcing in which the services are provided by an organization whose employees are in a foreign country. Organizations must consider many factors when deciding where to locate outsourcing activities.

Pros of Offshore Outsourcing

1. Cost Savings

✓ Companies can hire multiple offshore workers for the cost of one U.S. worker.

✓ Helps reduce operational expenses, especially in IT services.

2. Increased Efficiency & Productivity

✓ 24/7 work cycles due to different time zones speed up project completion.

✓ Continuous support for software applications improves service delivery.

Pros of Offshore Outsourcing

3. Access to a Larger Talent Pool

- ✓ Enables businesses to tap into specialized expertise not readily available locally.
- ✓ Helps companies scale quickly without extensive in-house hiring.

4. Faster Project Delivery

- ✓ Round-the-clock work models (e.g., Syntel) accelerate software development.
- ✓ Reduces time-to-market for new digital products.

Pros of Offshore Outsourcing

5. Focus on Core Business Functions

- ✓ Outsourcing routine tasks allows internal teams to focus on strategic initiatives.
- ✓ Helps businesses allocate resources to innovation rather than operational tasks.

Cons of Offshore Outsourcing

1. Rising Offshore Labor Costs

- ✓ Salaries in popular outsourcing hubs (e.g., India) are increasing by 15% annually.
- ✓ The cost advantage is shrinking, reducing the financial benefit of outsourcing.

2. Hidden Costs

- ✓ Travel, communication, and vendor selection can offset cost savings.
- ✓ Takes years and significant investment to establish a reliable outsourcing relationship.

3. Job Loss & Employee Morale Issues

- ✓ Domestic employees may lose jobs as companies shift work offshore.
- ✓ Layoffs can harm team morale and productivity.

Cons of Offshore Outsourcing

4. Communication & Cultural Barriers
- ✓ Language differences can lead to misunderstandings in project execution.
- ✓ Varying cultural interpretations of communication (e.g., “yes” meaning understanding vs. agreement) can cause confusion.

5. Security & Data Privacy Risks
- ✓ Sensitive customer data may be compromised by third-party vendors.

6. Loss of Institutional Knowledge
- ✓ Companies lose valuable expertise when outsourced workers leave after project completion.
- ✓ Reduces internal workforce development, increasing long-term reliance on outsourcing.

Cons of Offshore Outsourcing

7. Dependence on Foreign Workers

- ✓ Fewer entry-level positions remain in the U.S., limiting IT workforce development.
- ✓ Long-term reliance on outsourcing can weaken domestic IT infrastructure.

Strategies for Successful Offshore Outsourcing

- Set clear, firm business specifications for the work to be done.
- Assess the basic stability and economic soundness of the outsourcing vendor and what might occur if the vendor encounters a severe financial downturn.
- Establish reliable satellite or broadband communications between your site and the outsourcer's location.
- Implement a formal version-control process, coordinated through a quality assurance person.
- Develop and use a dictionary of terms to encourage a common understanding of technical jargon.

Strategies for Successful Offshore Outsourcing

- Require vendors to have project managers at the client site to overcome cultural barriers and facilitate communication with offshore programmers.
- Require a network manager at the vendor site to coordinate the logistics of using several communications providers around the world.
- Agree in advance on the structure and content of documentation to ensure that manuals explain how the system was built, as well as how to maintain it.

Lesson 5: Whistle blowing

Whistle-blowing is an effort to attract public attention to a negligent, illegal, unethical, abusive, or dangerous act by a company or some other organization. In going public with the information, they have; whistle-blowers often risk their own careers and sometimes even affect the lives of their friends and family. In extreme situations, whistle-blowers must choose between protecting society and remaining silent.

Protection for Whistle blowers

- Whistle-blower protection laws allow employees to alert the proper authorities to employer actions that are unethical, illegal, or unsafe, or that violate specific public policies. Unfortunately, no comprehensive federal law protects all whistle-blowers from retaliatory acts. Instead, numerous laws protect a certain class of specific whistle-blowing acts in various industries.
- The False Claims Act, also known as the Lincoln Law, was enacted during the U.S. Civil War to combat fraud by companies that sold supplies to the Union Army.
- The qui tam ("who sues on behalf of the king as well as for himself") provision of the False Claims Act allows a private citizen to file a suit in the name of the U.S. government, charging fraud by government contractors and other entities who receive or use government funds.

The False Claims Act provides strong whistle-blower protection. Any person who is discharged, demoted, harassed, or otherwise discriminated against because of lawful acts of whistle-blowing is entitled to all relief necessary “to make the employee whole.” Such relief may include job reinstatement; double back pay; and compensation for any special damages, including litigation costs and reasonable attorney’s fees.

Whistle-Blowing Protection for Private-Sector Workers

- Under state law, an employee could traditionally be terminated for any reason, or no reason, in the absence of an employment contract. However, many states have created laws that prevent workers from being fired because of an employee's participation in "protected" activities. One such activity is the filing of a qui tam lawsuit under the provisions of the False Claims Act.

Dealing with a Whistle blowing Situation

1. Assess the Seriousness of the Situation
2. Begin Documentation
3. Attempt to Address the Situation Internally
4. Consider Escalating the Situation Within the Company
5. Assess the Implications of Becoming a Whistle-Blower
6. Use Experienced Resources to Develop an Action Plan
7. Execute the Action Plan
8. Live with the Consequences

Lesson 6: Green Computing

Green computing is a term applied to a variety of efforts directed toward the efficient design, manufacture, operation, and disposal of IT-related products, including personal computers, laptops, servers, printers, and printer supplies. Computer manufacturers and end users are faced with many questions about when and how to transition to green computing, and at what cost.

Electronic Product Environmental Assessment Tool (EPEAT) is a system that enables purchasers to evaluate, compare, and select electronic products based on a total of 51 environmental criteria. Products are ranked in EPEAT according to three tiers of environmental performance: Bronze (meets all 23 required criteria), Silver (meets all 23 of the required criteria plus at least 50 percent of the optional criteria), and Gold (meets all 23 required criteria plus at least 75 percent of the optional criteria).

Lesson 7: ICT Industry Code of Conduct

The **Electronic Industry Citizenship Coalition (EICC)** was established to promote a common code of conduct for the electronics and ICT industry. The EICC focuses on the areas of worker safety and fairness, environmental responsibility, and business efficiency. ICT organizations, electronics manufacturers, software firms, and manufacturing service providers may voluntarily join the coalition. The EICC has established a code of conduct that defines performance, compliance, auditing, and reporting guidelines across five areas of social responsibility: labor, health and safety, environment, management system, and ethics.

The five areas of social responsibility and guiding principles covered by the code:

1. Labor - “Participants are committed to uphold the human rights of workers, and to treat them with dignity and respect as understood by the international community.”
2. Health and Safety - “Participants recognize that in addition to minimizing the incidence of work-related injury and illness, a safe and healthy work environment enhances the quality of products and services, consistency of production and worker retention and morale. Participants also recognize that ongoing worker input and education is essential to identifying and solving health and safety issues in the workplace.”

The five areas of social responsibility and guiding principles covered by the code:

3. Environmental - “Participants recognize that environmental responsibility is integral to producing world class products. In manufacturing operations, adverse effects on the community, environment, and natural resources are to be minimized while safeguarding the health and safety of the public.”
4. Management System - “Participants shall adopt or establish a management system whose scope is related to the content of this Code. The management system shall be designed to ensure (a) compliance with applicable laws, regulations and customer requirements related to the participant’s operations and products; (b) conformance with this Code; and (c) identification and mitigation of operational risks related to this Code. It should also facilitate continual improvement.”

The five areas of social responsibility and guiding principles covered by the code:

5. Ethics - “To meet social responsibilities and to achieve success in the marketplace, participants and their agents are to uphold the highest standards of ethics including: business integrity; no improper advantage; disclosure of information; intellectual property; fair business, advertising, and competition; protection of identity; responsible sourcing of minerals; and privacy.”

Prior to the adoption of the EICC Code of Conduct, many electronic manufacturing companies developed their own codes of conduct and used them to audit their suppliers. Thus, suppliers could be subjected to multiple, independent audits based on different criteria.

Session

THANK YOU!